When the Machinery Breaks

African Bank (ABIL): a South African corporate-governance failure

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Summer ESG Module | PGT | Afternoon case session

“South African Bank of the Year,” 2012

November 2012. *The Banker* (FT group) names African Bank its South African “Bank of the Year,” praising a “robust business model” and “sophisticated risk models.”

The holding company, **ABIL**, was one of the hottest stocks on the Johannesburg exchange — profits up from R0.7bn to R3.1bn over a decade, the share price up more than eight-fold.

Eighteen months later

The shares are worth less than R1 — down **over 90% in a single week**. The central bank seizes the bank. Roughly **13,000** small, mostly black investors are wiped out.

Source: HBS case 319-052/053 (Paine & Hurwitz, 2018).

Before we open the case — your first hypothesis

A bank goes from "Bank of the Year" to seizure in eighteen months. What is the most likely root cause?

fraud? *a bad strategy?* *poor risk management?* *a failed board?* *bad luck?*

Hold your answer. By the end you will have built the failure yourself — from the same governance levers we studied this morning.

How we'll work the case

1. **The company** — a one-product bank for the financially excluded.
2. **The board** — who was in the room.
3. **Six governance failures** — each as a decision the board faced.
4. **The collapse** — and the "good bank / bad bank" rescue.
5. **The verdict and the lessons** — mapped back to the morning's toolkit.

Same thesis as this morning: governance is the transmission mechanism. Here it transmits catastrophe.

The company & the board

A bank for the financially excluded

African Bank made unsecured loans — no collateral — to mostly lower-income South Africans: for car repairs, funerals, school fees, medical bills, settling other debts.

- Roots in apartheid-era exclusion: most poor, black South Africans had no title deeds to pledge. A 1992 legal exemption let lenders offer small unsecured loans as an alternative to loan sharks.
- By 2013: ∼**3 million customers**, 5,200 staff, 1,500+ locations, a R59bn loan book — **over 30%** of the country's unsecured-lending market.

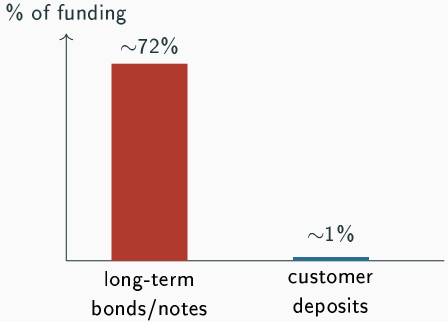
A "mono-line" bank

Its own auditor called it a mono-line bank: "it offers and earns monies from only one product — unsecured loan finance." It took *no* customer deposits and ran no other banking lines.

Source: HBS case 319-052 (Paine & Hurwitz, 2018).

Funded by markets, not depositors

A normal bank funds itself with sticky customer *deposits*. African Bank funded itself by selling bonds to a handful of large institutions.



a peer (Capitec): 77% from deposits

Concentration

Just ~**10 institutions** provided over 75% of all funding. A shareholder (Coronation) flagged it as a risk: confidence-sensitive money, easily withdrawn.

Source: ABIL annual reports; HBS case 319-052. Figures redrawn / approximate.

2008: buying a furniture chain

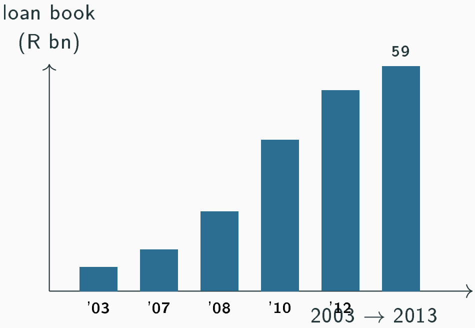
ABIL paid R9.1 billion for **Ellerine Holdings**, a furniture retailer with 1,000+ stores and 7,844 staff.

- The logic: put African Bank *loan kiosks* inside furniture stores — grow the customer base and the loan book.
- A governance footnote already: one account says the CEO sought *regulatory* approval for the deal before the board had approved it; the board met five days later — nearly half by teleconference — and signed off after his presentation.

Remember Ellerines. It returns as the sharpest conflict of interest in the case.

Source: HBS case 319-052 (Paine & Hurwitz, 2018).

The growth story — “the darling of analysts”



- Profit R0.7bn (2003) → R3.1bn (2012).
- Share price →~R40.
- “One of the hottest stocks on the JSE”; the CEO a celebrated visionary of unsecured lending.

Internal target: a R75bn book.

Source: ABIL annual reports; HBS case 319-052. Redrawn.

Who was in the room

Person	Role
Leon Kirkinis	Co-founder & CEO since 1993; chartered accountant; the "champion of unsecured lending"
Nithia Nalliah	CFO; former Deloitte partner — Deloitte audited the bank
Tami Sokutu	Chief Risk Officer; trained as a botanist, ex-civil-servant — not a banker
Toni Fourie	CEO of *Ellerines* — yet also a director of the bank

The board (Sept 2013)

11 directors — 4 executive, 7 independent non-executive. Five committees (audit; risk; ethics; remuneration; directors' affairs). On paper, a textbook independent-majority board.

Source: HBS case 319-052, Exhibit 8 (redrawn).

Six governance failures

For almost all of ABIL's history, **"there was no material decision. . . which did not carry [Kirkinis's] support"** — "he was the person who had to be persuaded." No other director knew the bank as well. When he and others disagreed, the board "gave more credence to his views."

Discuss

You are an independent director. The co-founder CEO has been right for twenty years, owns the room, and the share price says he is a genius. What can a board actually do to keep such a CEO accountable?

Source: HBS case 319-052; Myburgh Report (2016).

ANALYSIS · Board independence on paper $\neq$ in the room

- The Myburgh Report used the word "hubris": Kirkinis tended to believe "he was right; everyone else was wrong," and the board was **"dominated by Mr Kirkinis."**
- An analyst's diagnosis: "CEOs can become too big for their boards...the balance of power sits with the CEO and the board feels it cannot really challenge him." A headline: *"Board beguiled by toxic charm."*
- *Nuance:* a few directors *did* push back (Sithole, Gumbi, Mthombeni). Independence is not a box; it is a behaviour.

THE LEVER · Board independence & the CEO–board power balance

Seven "independent" directors and a full committee structure did not produce independent *challenge*. Structure is necessary, not sufficient.

Source: Myburgh Report (2016); HBS case 319-052/053.

DISCUSS · Failure 2 — who owns the risk?

Two facts about how the riskiest loan book in the country was overseen:

- The **Chief Risk Officer** was a botanist and former public servant — with no banking training — who, in the crisis years, was frequently incapacitated.
- In March 2013 the **CFO** recommended an extra R450m bad-debt provision. The **CEO** thought R350m was enough — "the second half is always better." The CEO prevailed.

Discuss

What is a board *risk committee* for? Whose job was it to stop an unqualified CRO and an optimistic CEO from under-reserving — and why didn't it work?

Source: Myburgh Report (2016); HBS case 319-052.

ANALYSIS · Risk governance with no independent force

- Myburgh: Sokutu **"was not qualified to be the Chief Risk Officer"** and had "a severe drinking problem"; in 2012–13 he could make "no meaningful contribution." The CEO knew, and put him on extended leave — but he stayed a *director*.
- The provisioning override is the tell: when the CEO can overrule the CFO on how big the losses are, reported profit becomes a matter of opinion — and the opinion that wins flatters results and delays action.

THE LEVER · Board competence & the risk function

A risk committee only disciplines management if it has the expertise and the standing to say "no." Here it had neither.

Source: Myburgh Report (2016); HBS case 319-052.

DISCUSS · Failure 3 — one product, one bet

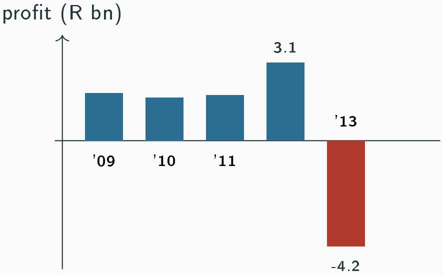
African Bank had one product (unsecured loans), one borrower segment (lower-income South Africans), and one funding model (wholesale bonds). It was advised — repeatedly — to diversify into other banking services. The CEO refused; for him, other products were a "no-go area."

Discuss

Diversification is a *strategy* choice — normally management's call. But concentration this extreme is a *risk*. Should the board have overruled the CEO and forced diversification? Where is the line between strategy and survival?

Source: HBS case 319-052; Myburgh Report (2016).

ANALYSIS · The mono-line bet meets reality



- 2012 **platinum-mining strikes** hit the borrower base; defaults jumped from ∼10× to ∼30× normal-bank levels.
- With no other business lines, there was nothing to absorb the shock. **2013: a R4.2bn loss** — the first ever.

THE LEVER · Strategy oversight

A diversified bank rides out a sector shock. A mono-line bank *is* the shock. The board's clearest failure was not stopping a concentration it had been warned about.

Source: ABIL annual reports; Myburgh Report (2016). Redrawn.

DISCUSS · Failure 4 — lending to your own subsidiary

By 2014, African Bank had lent R1.4 billion to **Ellerines** — its own struggling furniture subsidiary, which needed at least R70m a month just to survive.

Two structural facts:

- **Toni Fourie** ran Ellerines *and* sat on the bank's board.
- ABIL and the bank had the same directors, meeting the same day — "a unitary board."

Discuss

A bank in the business of *small loans to individuals* makes a *huge loan to a furniture chain it owns*. Whose interests was the board serving — the bank's, or the holding company's?

Source: HBS case 319-052; Myburgh Report (2016).

ANALYSIS · A conflict the board could not see

- Myburgh: "no reasonable banker" would have made the Ellerines loans; in doing so the directors **"acted in breach of their fiduciary duty. . . to the bank."**
- What is good for *ABIL* (prop up the furniture business it owns) is not what is good for *the bank* (don't lend R1.4bn to a failing retailer). The unitary board could not hold the two apart.
- Telling: asked about the conflict, every director except one (Mthombeni) denied it existed.

THE LEVER · Conflicts of interest & related-party transactions

Group structures create divided loyalties. The board's duty runs to *the bank* and its depositors and bondholders — not to the parent's other businesses.

Source: Myburgh Report (2016); HBS case 319-052/053.

DISCUSS · Failure 5 — how independent was the audit?

- The **CFO** (Nalliah) was a former Deloitte partner; ABIL had been his client. **Deloitte** was the bank's external auditor.
- The audit-committee chair (Sithole) complained that management's updates had an "overly positive tone" and that, by "not being aware of the true condition of the business," management *"postponed urgent corrective steps."* He resigned in 2013, citing "fundamental problems."

Discuss

Auditors and audit committees are the system's truth-tellers. What happens to that safeguard when the CFO and the auditor are this close — and the disclosures stay relentlessly upbeat?

Source: HBS case 319-052/053.

- **Independence & familiarity:** an ex-Deloitte-partner CFO facing his old firm as auditor is exactly the closeness audit-independence rules exist to prevent.
- **Disclosure:** the optimistic tone and the provisioning override (Failure 2) are the same problem seen from the outside — results that looked better than the business was. The audit chair who objected *left*.
- **Aftermath:** investors later sued the former directors *and* Deloitte for over R2 billion.

THE LEVER · Audit-committee effectiveness & auditor independence

Disclosure and audit are governance mechanisms only if they are independent enough to deliver bad news.

Source: HBS case 319-053.

Kirkinis's *salary* was modest — about R2.2m (2012), less than the CFO's. But he and a family trust owned a large block of shares, on which he earned roughly R286m in dividends over time, worth ∼R650m at the peak.

Discuss

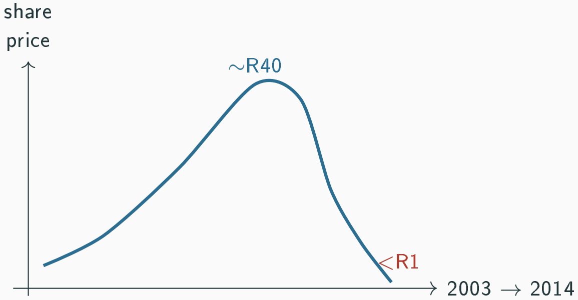
His pay came from dividends — which come from growth. Did the incentive structure quietly reward exactly the aggressive, undiversified expansion that sank the bank?

(Recall this morning: pay can be a symptom of weak governance, not just a cure.)

Source: HBS case 319-052, Exhibit 9.

The collapse

The turn (2012–2013)



- 2012: peak — R3.1bn profit, stock ∼R40.
- 2013: first-ever loss, R4.2bn; a reckless-lending case from the regulator.
- Dec 2013: a R5.5bn equity raise (Goldman-underwritten) — "to save the group from inevitable bankruptcy."
- It was not enough.

Source: ABIL annual reports; HBS case 319-052/053. Redrawn.

The week it ended — August 2014

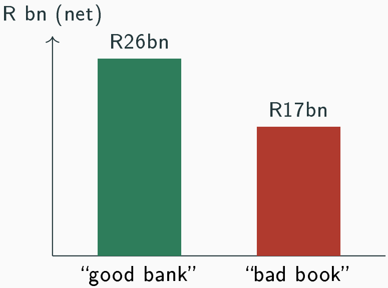
- **6 Aug:** Kirkinis resigns. ABIL warns of a loss of R7.6bn or more and the need to raise a *further* R8.5bn. The rights issue is untenable.
- **7 Aug:** Ellerines enters business rescue (akin to Chapter 11).
- **31 Jul → 7 Aug:** the shares fall over 90%, to under R1.
- **Mid-Aug:** trading suspended; the **South African Reserve Bank** places African Bank under curatorship. "There is no payment holiday" — collections continue.

The founder kept buying shares as they fell — "he believed in his narrative" — and lost about 95% of his net worth.

Source: HBS case 319-053.

The rescue: a "good bank" and a "bad book"

The Reserve Bank split the bank in two.



- **Good bank** (R26bn): recapitalised by the Reserve Bank, the government pension fund and a bank consortium; relaunched as an independent **African Bank** in April 2016 — with a mandate to diversify beyond one product.
- **Bad book** (R17bn): the non-performing loans, renamed Residual Debt Services, wound down.

Source: SARB; HBS case 319-053. Redrawn.

The verdict & the lessons

The official verdict — the Myburgh Report (2016)

The Reserve Bank commissioned a judge-led investigation. Its conclusion is the heart of the case:

No fraud — but negligence

It found **no evidence of fraud**. It found that "the business of the bank was conducted negligently"; that the directors **"acted in breach of their fiduciary duty to the bank,"** "did not exercise the required care and skill," and "did not act in the best interests of the bank."

The collapse was not a crime. It was a governance failure — which is far more useful to study, because it is far more common.

Source: Myburgh Report (SARB, 2016).

Who paid

- ~**13,000** small, mostly black investors — through BEE vehicles (Hlumisa, Eyomhlaba): employees, former employees, customers, ordinary savers — lost their entire investments.
- Vulnerable **borrowers** faced continued collection on loans many should never have been given.
- Investors sued the former directors *and* the auditor for over R2bn — a potential test case for holding directors **personally liable**.

This is the "S" in ESG

A governance failure did not just lose money for funds. It destroyed the savings of the financially excluded — the very people the bank was built to serve.

Source: HBS case 319-053.

Synthesis — six failures, one toolkit

The failure	The governance lever (this morning)
Founder "always right"	Board independence & CEO–board balance
Unqualified, sidelined CRO	Board competence; the risk function
The mono-line bet	Strategy oversight & challenge
R1.4bn to Ellerines	Conflicts / related-party transactions
Ex-Deloitte CFO; upbeat disclosure	Audit committee & auditor independence
Pay from growth/dividends	Incentives

The common thread

Every mechanism existed on paper. The one thing missing was a board willing to override the founder. Governance is behaviour, not structure.

DISCUSS · Your verdict

- Seven independent directors. Why did *none* of the mechanisms fire in time?
- Was this fundamentally a **strategy** failure, a **risk** failure, or a failure of **boardroom courage**?
- The regulator engaged from 2011. Did regulation fail — or did governance fail first?
- Should directors be **personally liable** for negligence like this?

Return to your opening hypothesis. Was it fraud, strategy, risk, the board — or all of governance at once?

The dark mirror

Governance is the transmission mechanism.

This morning we watched it deliver E and S outcomes.

At African Bank, the same machinery — a dominant CEO, a captured board, an unowned risk, a hidden conflict — transmitted catastrophe.

Good governance is not paperwork. It is the difference between a bank and a ruin.

Built from, and attributed to:

Lynn S. Paine & Will Hurwitz, *African Bank Investments Limited (A) & (B)*,
Harvard Business School Cases 319-052 & 319-053 (2018).

Myburgh Report (South African Reserve Bank, 2016); ABIL annual reports.

These teaching slides are an original summary and analysis; all exhibits are redrawn.
The HBS case itself is obtained separately by students under licence.